

To demonstrate, take a look at the development of Toyota's Sienna minivan for the 2004 model year. At Toyota, the manager responsible for the design and development of a new model is called the chief engineer, a cross-functional leader who oversees the entire process from concept to production. The 2004 Sienna was assigned to Yuji Yokoya, who had very little experience in North America, which was the Sienna's primary market. To figure out how to improve the minivan, he proposed an audacious entrepreneurial undertaking: a road trip spanning all fifty U.S. states, all thirteen provinces and territories of Canada, and all parts of Mexico. In all, he logged more than 53,000 miles of driving. In small towns and large cities, Yokoya would rent a current-model Sienna, driving it in addition to talking to and observing real customers. From those firsthand observations, Yokoya was able to start testing his critical assumptions about what North American consumers wanted in a minivan.

It is common to think of selling to consumers as easier than selling to enterprises, because customers lack the complexity of multiple departments and different people playing different roles in the purchasing process. Yokoya discovered this was untrue for his customers: "The parents and grandparents may own the minivan. But it's the kids who rule it. It's the kids who occupy the rear two-thirds of the vehicle. And it's the kids who are the most critical—and the most appreciative of their environment. If I learned anything in my travels, it was the new Sienna would need kid appeal."⁷ Identifying these assumptions helped guide the car's development. For example, Yokoya spent an unusual amount of the Sienna's development budget on internal comfort features, which are critical to a long-distance family road trip (such trips are much more common in America than in Japan).

The results were impressive, boosting the Sienna's market share dramatically. The 2004 model's sales were 60 percent higher than those in 2003. Of course, a product like the Sienna is a classic sustaining innovation, the kind that the world's best-managed established companies, such as Toyota, excel at. Entrepreneurs face